

in these three amounts. Attending NYU will be nearly \$175,000 more expensive than SDSU. Even if NYU is considered a better school and is Madina's dream school, is it really \$175,000 better? Also, it is important to understand what it is going to look like to pay these loans back. Table 3.3 shows the initial monthly interest for each of these loans.

Table 3.3. Madina's student-loan interest payments by school

Financial Aid	CSU San Diego	University of Oregon	NYU
Total borrowed	\$26,960	\$112,752	\$200,976
Interest rate	5.8%	5.8%	5.8%
Interest per month	\$130	\$544	\$971

If you are like me, this table terrifies you. It demonstrates how much interest Madina is initially accruing per month from each respective school. If she chooses Oregon, she needs to pay \$544 every month just to keep her balance where it is. If she chooses NYU, she needs to pay \$971 to stop her balance from increasing. I want to repeat that: if she pays \$971 every month on her NYU bill, she will never pay the loan off. That is a huge amount of money to be paying each month, and it is not even helping her reduce her debt.